

Trade Union Act, 1993

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 11

Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Trade Union Act, 2049".

(2) This Act shall commence on such date as the Government of Nepal may appoint by notification published in the Nepal Gazette. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Establishment" means an establishment pursuant to clause (ja) of section 2 of amended by the Some Nepal Acts Amendment Act, 2082.the Labour Act, 2074.

(b) Amended by the First Amendment. "Worker" means a permanent, temporary, contract, daily wage, piece rate, contract-based or sub-contract worker, and an agricultural labourer, working in various industries, trades, businesses or services inside and outside an establishment, and the term also includes an employee other than an employee working as the manager or management level head and the head of its department, branch, sub-branch or unit, and a self-employed person.

(ba) Added by the First Amendment. "Agricultural labourer" means a person who earns a livelihood by working for wages in the agricultural sector.

(c) "Manager" means a manager pursuant to clause (da) of section 2 of amended by the Some Nepal Acts Amendment Act, 2082.the Labour Act, 2074.

(d) "Trade Union" means an establishment-level trade union registered under this Act for the protection and promotion of the occupational rights and interests of workers, and the term also includes a Trade Union Federation and a Trade Union Congress.

(e) "Establishment-level Trade Union" means an establishment-level trade union registered pursuant to section 3.

(f) "Trade Union Federation" means a Trade Union Federation registered pursuant to section 4.

(g) "Trade Union Congress" means a Trade Union Congress registered pursuant to section 5.

(h) "Authorized Trade Union" means an establishment-level trade union that has obtained recognition pursuant to section 11 for collective bargaining with the manager for the protection of the rights and interests of workers.

(i) "Working Committee" means the working committee formed in accordance with the constitution of the Trade Union.

(j) "Member" means a worker of the concerned establishment who has taken membership of the establishment-level trade union.

(k) "Office Bearer" means the Chairperson, Vice-Chairperson, General Secretary, Secretary and Treasurer of

the working committee, and the term also includes a member of the working committee.

(l) "Registrar" means the Registrar appointed pursuant to section 14, and the term also includes an officer designated by the Government of Nepal by notification published in the Nepal Gazette to exercise the powers of the Registrar.

(m) "Register Book" means the register book maintained pursuant to section 16 for registering Trade Unions.

(n) "Labour Court" means the Labour Court under amended by the Some Nepal Acts Amendment Act, 2082.the Labour Act, 2074.

(o) "Prescribed" or "as prescribed" means prescribed in rules made under this Act or in an order issued by the Government of Nepal by notification published in the Nepal Gazette.

Chapter-2

Registration of Trade Unions

3. Registration of Establishment-level Trade Union: (1) Workers of the concerned establishment may form establishment-level trade unions for the protection and promotion of their occupational rights and interests.

(2) For registering an establishment-level trade union formed pursuant to sub-section (1), the office bearer designated by the working committee shall submit an application to the Registrar in the prescribed format, along with the constitution of that trade union and the prescribed fee, with the prescribed particulars, supported by the signatures of at least ten members.

(3) Upon receiving an application pursuant to sub-section (2), the Registrar shall, after examining whether it meets the requirements for registration, register such Trade Union within fifteen days from the date of application or, if additional particulars are requested under section 6, from the date of receipt of such particulars, and issue a certificate of registration to the applicant in the prescribed format.

(4) Notwithstanding anything contained in sub-section (3), an establishment-level trade union that does not have at least twenty-five percent of the workers of the concerned establishment as members shall not be registered.

(5) No worker may be a member of more than one establishment-level trade union at the same time. 4. Registration of Trade Union Federation: (1) At least fifty establishment-level trade unions or added by the First Amendment. at least five thousand agricultural labourers from at least twenty districts, with at least one hundred from each district, or at least five thousand workers of establishments of the same nature, may mutually agree to form a Trade Union Federation.

(2) Notwithstanding anything contained in sub-section (1), at least five hundred workers or self-employed persons working outside establishments in amended by the First Amendment. industries, trades, businesses or services of the same nature may also mutually agree to form a Trade Union Federation. Added by the First Amendment.

Provided that, for the purpose of forming a Congress under section 5, a maximum of four Federations formed under this sub-section shall be counted. (3) For registering a Trade Union Federation formed under sub-section (1) or (2), the office bearer designated by the working committee shall submit an application to the Registrar in the prescribed format, along with a copy of the agreement made between such trade unions, the constitution of the Trade Union Federation, and the prescribed fee, with the prescribed particulars. (4)

Upon receiving an application pursuant to sub-section (3), the Registrar shall, after examining whether it meets the requirements for registration, register such Trade Union Federation within fifteen days from the date of application or, if additional particulars are requested under section 6, from the date of receipt of such particulars, and issue a certificate of registration to the applicant in the prescribed format. (5) Notwithstanding anything contained in sub-section (1), no establishment-level trade union may be a member of more than one Trade Union Federation at the same time, and no Trade Union Federation may have more than one establishment-level trade union from the same establishment as a member. (6) After a Trade Union Federation is registered pursuant to sub-section (4), even if the number of its members decreases by up to ten percent, the registration of such Trade Union Federation shall remain valid for one year. 5. Registration of Trade Union Congress: (1) At least ten Trade Union Federations may mutually agree to form a Trade Union Congress. (2) For registering a Trade Union Congress formed under sub-section (1), the office bearer designated by the working committee shall submit an application to the Registrar in the prescribed format, along with a copy of the agreement made between the Trade Union Federations, the constitution of the Trade Union Congress, and the prescribed fee, with the prescribed particulars. (3) Upon receiving an application pursuant to sub-section (2), the Registrar shall, after examining whether it meets the requirements for registration, register such Trade Union Congress within fifteen days from the date of application or, if additional particulars are requested under section 6, from the date of receipt of such particulars, and issue a certificate of registration to the applicant in the prescribed format. (4) Notwithstanding anything contained in sub-section (1), no Trade Union Federation may be a member of more than one Trade Union Congress at the same time. (5) After a Trade Union Congress is registered pursuant to sub-section (3), even if the number of its members decreases by up to ten percent, the registration of such Trade Union Congress shall remain valid for one year. 6.

Power to Call for Additional Particulars: (1) If the Registrar considers additional particulars necessary regarding the registration of a Trade Union, he/she may, within seven days from the date of application for registration, call for such particulars as deemed necessary. (2) Notwithstanding anything contained in sections 3, 4 and 5, no Trade Union shall be registered until the particulars called for under sub-section (1) are received. 7. Grounds for Refusal of Registration: The Registrar may refuse to register a Trade Union in the following circumstances:- (a) If the required particulars are not attached with the application; (b) If it is an establishment-level trade union that does not have at least 25 percent of the workers of the concerned establishment as members; (c) If the name of the Trade Union is identical to the name of any previously registered Trade Union; (d) If the constitution of the Trade Union does not contain the particulars mentioned in section 10. Added by the First Amendment. 7A. Renewal of Trade Union: (1) An establishment-level trade union shall be renewed every two years, and a Trade Union Federation and a Trade Union Congress shall be renewed every four years. (2) Other provisions relating to the renewal of a Trade Union shall be as prescribed. Chapter-3 Operation, Management and Recognition of Trade Unions 8. To be a Self-governing and Organized Body: (1) A Trade Union shall be a self-governing and organized body with perpetual succession. (2) A Trade Union shall have its own separate seal for its business. (3) A Trade Union may acquire, hold, sell or otherwise dispose of movable and immovable property like a natural person. (4) A Trade Union may sue and be sued in its own name like a natural person. 9.

Objectives: (1) The objectives of a Trade Union shall be as follows:- (a) To work for improving the working conditions of workers and for their economic and social advancement; (b) To endeavor to maintain good relations between workers and the manager; (c) To assist in increasing the productivity and development of the establishment; (d) To strive to make workers dutiful and disciplined. (2) In addition to the objectives mentioned in sub-section (1), the objectives of a Trade Union Federation and a Trade Union Congress shall

be as follows:- (a) To conduct programs for educating workers; (b) To maintain contacts with international organizations for the benefit of workers; (c) To provide necessary advice to the Government of Nepal in formulating labour policy; (d) To conduct workshops, conferences, seminars, etc. necessary for the development of the social and economic level of workers, and to publish facts useful to workers; (e) To negotiate with the Government of Nepal regarding the protection and promotion of the rights and interests of workers, and to adopt other necessary measures subject to the prevailing law. Added by the First Amendment. 9A. Functions, Duties and Rights of a Trade Union: In addition to the functions, duties and rights mentioned in its constitution, the other functions, duties and rights of a Trade Union shall be as follows:- (a) To conduct or cause to conduct necessary actions and programs for achieving the objectives of the Trade Union as per sub-section (1) of section 9; (b) To cause its members to participate in the election of the establishment-level authorized trade union; (c) To cause the workers of the establishment to comply with the decisions of the establishment-level authorized trade union. Added by the First Amendment. 9B.

Functions, Duties and Rights of Trade Union Federation and Trade Union Congress: In addition to the functions, duties and rights mentioned in their constitution, the other functions, duties and rights of a Trade Union Federation and a Trade Union Congress shall be as follows:- (a) To conduct or cause to conduct necessary actions and programs for achieving the objectives of the Trade Union Federation and Trade Union Congress as per sub-section (2) of section 9; (b) To cause its members to participate in the election of the Trade Union Federation and Trade Union Congress; (c) To cause its members to comply with the decisions of the Trade Union Federation and Trade Union Congress; (d) To adopt necessary measures to settle labour disputes by representing all workers on important and national-level labour dispute policy matters, negotiating with the Government of Nepal, various types of business associations and federations, and establishments; (e) To negotiate with the concerned establishments and managers on behalf of the establishment-level trade union; (f) To establish and operate various types of funds for the interest and welfare of workers; (g) To publicize facts of oppression against workers and trade unions, and to alert the concerned establishment as necessary. 10. Constitution: (1) The constitution of a Trade Union shall contain the following particulars:- (a) The name and address of the Trade Union; (b) The objective of establishing the Trade Union; (c) The method of formation of the working committee and its term, which shall be a maximum of four years; (d) The number of ordinary members and office bearers and their election procedure; (e) The provision that only a worker who is a Nepali citizen and has served continuously for one year may be elected as an office bearer; (f) Provisions relating to the fund of the Trade Union and its audit; (g) Provisions relating to the inspection and supervision of the accounts of the Trade Union; (h) The provision for bringing a motion of no-confidence against office bearers; (i) Provisions relating to the functions, duties, rights and meetings of the general meeting and working committee of the Trade Union; (j) The procedure for amending the constitution of the Trade Union; (k) Provisions relating to the dissolution of the Trade Union; (l) Provisions relating to the assets and liabilities of the Trade Union after its dissolution. (2) If any amendment is made to the constitution of a Trade Union, the concerned amended by the First Amendment. Trade Union shall, within thirty-five days of such amendment, give notice thereof to the Registrar together with a copy of such amendment, and shall also obtain approval from the Registrar. 11.

Recognition of Authorized Trade Union: (1) An establishment-level trade union that obtains a majority of the votes of the workers of the concerned establishment in the election for the authorized trade union shall be deemed to be the recognized authorized trade union for collective bargaining with the manager on behalf of the workers. Added by the First Amendment. (1A) If only one trade union is registered in an establishment and no other trade union is registered within three months from the date of such registration, the first registered trade union shall be recognized as the authorized trade union. Added by the First Amendment.

(1B) When calculating the period of three months under sub-section (1A), it shall be calculated from the date of commencement of this Act. (2) Amended by the Some Nepal Acts Amendment Act, 2072. The authorized trade union recognized under sub-section (1) or (1A) shall, within thirty-five days from the date of obtaining such recognition, give written notice thereof to the Registrar and the manager. (3) Within fifteen days from the date of receipt of the notice under sub-section (2), the Registrar shall issue a certificate of authorized trade union as prescribed. Added by the First Amendment. (4) The procedure relating to the election of an authorized trade union shall be as prescribed. 12. Submission of Demands: (1) Notwithstanding anything contained in sub-section (1) of section 74 of the Labour Act, 2048, the working committee of an authorized trade union may, in writing, submit demands to the manager for collective bargaining on behalf of the workers, mentioning the names of its representatives in the prescribed number. (2) An authorized trade union shall not engage in any act of striking or assisting a strike in the establishment without completing the procedure mentioned in section 76 of the Labour Act, 2048. 13. Validity Period of Recognition of Authorized Trade Union: The period during which an authorized trade union, having obtained recognition under section 11, is entitled to conduct collective bargaining with the manager on behalf of the workers shall remain valid for two years from the date of issuance of the certificate by the Registrar under sub-section (3) of that section. Added by the First Amendment. Provided that if the registration of such authorized trade union is cancelled or such trade union is dissolved, another authorized trade union shall be elected within three months from the date of such dissolution. Chapter-4 Appointment, Functions, Duties and Powers of Registrar 14.

Appointment of Registrar: (1) For the registration of Trade Unions under this Act, the Government of Nepal shall appoint such Registrars as necessary. (2) Notwithstanding anything contained in sub-section (1), the Government of Nepal may, by notification published in the Nepal Gazette, designate any other officer to exercise the powers of the Registrar as necessary. 15. Functions, Duties and Powers of Registrar: The functions, duties and powers of the Registrar shall be as follows:- (a) To register Trade Unions; (b) To maintain a register book with updated particulars and other registers of registered Trade Unions; (c) To call for additional particulars deemed necessary regarding the registration of a Trade Union; (d) To initiate necessary action if the required particulars, reports or other documents to be submitted by a Trade Union under this Act are not submitted or are submitted falsely; (e) To determine the procedure for conducting the election of an authorized trade union. 16. Register Book: The Registrar shall maintain a separate register book to keep the particulars, registers, etc. of Trade Unions updated. Chapter-5 Fund and Audit 17. Fund: (1) A Trade Union shall have its own separate fund, and the following amounts shall be deposited in such fund:- (a) Amounts received from membership fees; (b) Amounts received as contributions or grants from national organizations; (c) Amounts received from any other source. (2) All expenses incurred in the name of the Trade Union shall be borne from the fund. (3) The amounts in the fund under sub-section (1) shall be deposited by opening an account in any commercial bank within Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 18. Accounts and Audit: (1) The accounts of a Trade Union shall be maintained as mentioned in its constitution. (2) The accounts maintained under sub-section (1) shall be audited by an auditor appointed by the general meeting of the Trade Union. Chapter-6 Miscellaneous 19. Amalgamation of Trade Unions: Amended by the First Amendment. (1) If two or more Trade Unions wish to amalgamate into one Trade Union, and the general meeting of each such Trade Union voting in favor of amalgamation by a majority, such Trade Unions may mutually agree to form a new Trade Union. (2) For registering the new omitted by the First Amendment.

Trade Union formed under sub-section (1), the office bearer designated by the working committee shall submit an application to the Registrar in the prescribed format, along with a copy of the agreement made between the amalgamating Trade Unions, the constitution of such new Trade Union, and the prescribed fee,

with the prescribed particulars. 20. Notice of Change of Name: If a Trade Union changes its name, it shall give notice thereof to the Registrar within thirty-five days of such change of name. 21. Effect of Change of Name, Amalgamation or Merger: (1) The mere change of name of a Trade Union shall not be deemed to affect any right acquired or obligation to be fulfilled by such Trade Union.

(2) If two or more Trade Unions amalgamate into one Trade Union or one Trade Union merges into another Trade Union, the obligation to be fulfilled by such Trade Union shall not be affected. 22. Obligation to Fulfill Contractual Liability: (1) A contract made by a Trade Union itself or by an authorized office bearer on behalf of the Trade Union shall be binding on such Trade Union and the party contracting with the Trade Union.

(2) If any dispute arises in relation to a contract made between a Trade Union and an establishment or manager pursuant to sub-section (1), a case shall be filed in the Labour Court within three months from the date of the dispute or the cause of action for filing the case. 23. No Lawsuit to be Filed: Amended by the First Amendment. If, while performing any act in the context of collective bargaining by completing the procedure under this Act or amended by the Some Nepal Acts Amendment Act, 2082, the Labour Act, 2074, by an authorized trade union or an office bearer of such trade union, any adverse effect is caused to the establishment, no lawsuit shall be filed in any court against such trade union or office bearer on that ground. Added by the First Amendment. 23A. Transfer or Promotion not to be Made: Office bearers of the working committee of an establishment-level trade union shall not be transferred or promoted without their consent except in special circumstances. 24. Annual Return to be Submitted: (1) A Trade Union shall, after having its accounts audited, submit an annual return for each year to the Registrar within three months from the date of expiry of the fiscal year, clearly showing all assets, debts and liabilities.

(2) The annual return under sub-section (1) shall include the total number of fee-paying members of the Trade Union and the details of changes in office bearers during the year. 25.

Cancellation of Registration: (1) The Registrar shall cancel the registration of a Trade Union registered under this Act in the following circumstances:- (a) If the Trade Union submits an application to the Registrar for cancellation of registration; (b) If it is proved that the registration of the Trade Union was obtained by mistake or fraud; (c) If the Trade Union carries out activities contrary to this Act or the rules made under this Act. Amended by the First Amendment. (2) If the registration of a Trade Union is to be cancelled under circumstances mentioned in clauses (b) and (c) of sub-section (1), the concerned Registrar shall give fifteen days' notice to the concerned Trade Union, stating the reasons for such cancellation, to submit an explanation. Added by the First Amendment. (3) If the concerned Trade Union does not submit an explanation within the period under sub-section (2), or if the explanation submitted is not satisfactory and lawful, the Registrar may cancel the registration of such Trade Union. 26. Office Bearers of Trade Union Federation and Congress: Notwithstanding anything contained elsewhere in this Act, a Trade Union Federation and a Trade Union Congress may include persons engaged in the work of protecting and promoting the rights and interests of workers as office bearers of the Trade Union Federation and Trade Union Congress, up to a maximum of ten percent and twenty-five percent respectively of the total number of office bearers of their working committees. Added by the First Amendment. 26A. Representation of Trade Unions: When the Government of Nepal nominates representatives from or causes representation by Trade Unions, if there is more than one Trade Union related to the subject matter, the Government shall make nomination or representation proportionally or by rotation from such Trade Unions. 27. Notice of Dissolution of Trade Union: (1) When a Trade Union is to be dissolved in accordance with its constitution, the concerned office bearer shall give notice to the Registrar stating the reasons therefor. (2) Upon receiving the notice of dissolution under sub-section (1), the Registrar shall inquire whether such dissolution is in accordance with

the constitution, and shall register such notice only if the dissolution is in accordance with the constitution; and only after such registration of notice shall the Trade Union be deemed to be dissolved. Added by the First Amendment. 27A.

Limitation Period for Filing Cases: Unless otherwise provided in this Act, if a case is to be filed against any person in relation to any act contrary to this Act or the rules made under this Act, the case shall be filed within three months from the date of such act or from the date of cause of action for filing the case. 28. Penalties: Amended by the First Amendment. (1) If any office bearer, member or employee of a Trade Union misappropriates the assets of the Trade Union or of any fund or program operated by such Trade Union, or causes any kind of loss or damage to such assets, the Labour Court may order such office bearer, member or employee to pay an amount equal to the amount misappropriated or lost, and may impose a fine of up to five thousand rupees or imprisonment for up to one year or both. (2) If the particulars, reports, notices or other documents required to be submitted on behalf of a Trade Union under this Act or the rules made under this Act are not submitted or are submitted falsely, the Registrar may impose a fine of up to five hundred rupees on the concerned office bearer. 29. Appeals: (1) A case originally heard and decided by the Labour Court under this Act may be appealed to the High Court. (2) An order made by the Registrar under this Act may be appealed to the Labour Court. (3) An appeal shall be filed within thirty-five days from the date of the original hearing and decision by the Labour Court or the order by the Registrar. 30. Special Powers of the Government of Nepal: If, from the activities of a Trade Union or a Trade Union Federation or a Trade Union Congress formed under this Act or the rules made under this Act, an extraordinary situation arises that may disrupt the peace and security of the country or be adverse to the economic interests of the country, the Government of Nepal may issue necessary orders or directives to prohibit such activities. 31. Power to Make Rules: The Government of Nepal may make necessary rules for the implementation of the objectives of this Act.